MODULE 6 – FOREIGN EXCHANGE MANAGEMENT ACT, 1999

Main Questions

Question 1 (C5) (4M) (June 2023 Old PQ)

Distinguish between the title FERA and FEMA of Legislation

Answer

Aspect	FERA (Foreign Exchange Regulation Act), 1973	FEMA (Foreign Exchange Management Act), 1999
Objective	Conservation and proper utilization of foreign exchange. Control over business activities of Indian companies abroad and foreign companies in India.	Liberalize and manage foreign exchange market. Encourages international trade and promotes free flow of foreign trade and payments.
Nature of Law	Criminal law	Civil law
Penalties	Strict penalties including imprisonment for minor offenses	Relaxed penalties, arrests in extreme cases
Regulation	Regulated all foreign exchange activities	Only specified activities are regulated
Ease of Transactions	Complicated and strict regulations	Transparent, easy to access and understand
Foreign Exchange Reserves	Restricted flow of foreign exchange	Promotes increase in foreign exchange reserves

Question 2 (C7) (SM)

Write a note on authorised dealer.

Answer

An Authorized person includes an authorized dealer, money changer, offshore banking unit, or any person authorized under Section 10(1) of Foreign Exchange Management Act (FEMA), 1999 to deal in foreign exchange or securities.

An Authorised Dealer (AD) refers to a financial institution, typically a bank, or any other entity authorized by the Reserve Bank of India (RBI) to deal in foreign exchange or carry out specific foreign exchange transactions under the Foreign Exchange Management Act (FEMA), 1999.

Question 3 (C8 & C9) (7M) (June 2024 PQ)

State the restrictions in dealing in foreign exchange and holding of foreign exchange or foreign securities, as per the provisions of the Foreign exchange management Act, 1999.

Answer

Restriction in dealing in foreign exchange, etc. (Section 3) under FEMA

Section 3 prohibits the following transactions, namely:

i) dealing in or transferring any foreign exchange or foreign securities by any person not being Unauthorized person.
ii) making any payment to or for the credit of any person resident outside India in any manner.
iii) receiving otherwise than through an authorized person, any payment by order or on behalf of any person resident outside India in any manner.
iv) entering into any financial transaction in India as consideration for or in association with acquisition orcreation or transfer of a right to acquire, any asset outside India by any person.

Restriction in holding of foreign exchange (Section 4)

No person resident in India shall acquire, hold, own, possess or transfer any foreign exchange, foreign security or any immovable property situated outside India, other than those provided under the relevant Rules. Rules provide exemption as under.

i) Property held outside India by a foreign citizen resident in India.
ii) Property acquired by a person on or before 8th July, 1947 and held with the permission of ReserveBank.
iii) Property acquired by way of gift or inheritance from persons referred to in above.
iv) Property purchased out of funds held in RFC (Resident Foreign Currency) Account.

Question 4 (C10) (4M) (Dec 2018 Old PQ)

Write short notes on – Current account transaction (Section 2j)

Answer

Current account transaction means a transaction other than a capital account transaction and without prejudice to the generality of the foregoing such transaction includes:

a) Payments due in connection with foreign trade, other current business, services, and short-term banking and credit facilities in the ordinary course of business.
b) Payments due as interest on loans and as net income from investments.
c) Remittances for living expenses of parents, spouse and children residing abroad and
d) Expenses in connection with foreign travel, education and medical care of parents, spouse and children.

Question 5 (C10 & C11) (SM)

Differentiate between current account and capital account transaction.

Answer

Current account transactions involve payments for goods and services, interest payments, and remittances. These are everyday transactions that do not affect the assets or liabilities of a

country. The Foreign Exchange Management (Current Account Transactions) Rules, 2000, outline how these transactions are managed.

Capital account transactions involve changes in the ownership of assets and liabilities. This includes investments, loans, and transfers of ownership. Any person can sell or buy foreign exchange from an authorized person for capital account transactions, but must follow specific provisions.

Question 6 (C14) (SM)

Discuss in brief foreign direct investment.

Answer

Investment by non-residents in an Indian company's capital. Made directly into the company, not through intermediaries. This involves investment by non-residents in:

- Unlisted Indian companies, or
- At least 10% of a listed Indian company's equity capital on a fully diluted basis.
- FDI status is maintained even if the investment falls below 10% after the initial investment.

Question 7 (C7 & C17) (SM)

Differentiate between:

(i) Foreign security and Indian security

(ii) Automatic route and Government route in FDI

Answer

(i) An Indian Security refers to any financial instrument or asset that is issued by an entity incorporated in India. These securities represent ownership, debt, or other rights and are regulated by Indian laws such as the Securities and Exchange Board of India (SEBI) Act, the Companies Act, 2013, and the Foreign Exchange Management Act (FEMA), 1999.

Indian securities are typically denominated in Indian Rupees (INR) and are offered within India or to investors abroad under specific regulations.

Foreign Security - Securities in foreign currency like shares, stocks, bonds, or debentures, with returns payable in Indian currency.

Foreign securities enable investors to access international markets and diversify their investment portfolios. In India, investments in foreign securities are regulated under the Foreign Exchange Management Act (FEMA), 1999.

(ii) FDI in India can be made through two main entry routes:

a) Automatic Route:

- Under this route, foreign investors do not require prior approval from the government or the Reserve Bank of India (RBI) for investment.
- Investments can be made in sectors or activities specified under this route, provided they comply with sectoral caps and other specified conditions.

b) Government Approval Route:

- Investments under this route require prior approval from the government.

- This route is applicable for sectors or activities that are not covered under the Automatic Route or where the investment exceeds the specified sectoral limits under the Automatic Route

Question 8 (C16) (4M) (June 2023 PQ) (7M) (MQP June 2025)

Write short notes on: Prohibited sectors / persons for Foreign Direct investment in India

Answer:

FDI has been notified to be prohibited in the following sectors:

a) Lottery Business including Govt/Private Lottery, online Lottery
b) Gambling and betting including casinos
c) Chit funds (except for investment made by NRIs and OCIs on a non-repatriation basis)
d) Nidhi Companies
e) Trading in transferable development rights
f) Real Estate business or Construction of Farm businesses
g) Manufacturing of Cigars, Cheroots, cigarillos and cigarettes of tobacco
h) Atomic Energy and railway operations / Activities or sectors not open for private sector investments
i) Any investment by a person who is a citizen of Bangladesh or Pakistan or is entity incorporate in Bangladesh or Pakistan requires prior Central Govt. Approvals.

Question 9 (C17) (SM) (6M) (June 2023 PQ)

Modern Technologies, an unlisted Indian company, having a capital of Rs. 23 crores are negotiating with foreign investor for 20 % stake in the company by issue of fresh shares at a price to be negotiated. The Company is in high tech area where there no limit on foreign investment. You are the CFO of the company. Please prepare a note for directors, whether the issue is possible and if so, the steps to be taken for shares issue.

Answer

Note for Directors.

Our Company, Modern Technologies, is an unlisted company and SEBI regulations do not apply. However, Company has to comply with FEMA regulations.

1. As per present FDI regulation, no Govt. approval is required. Neither one requires prior approval of RBI.
2. The investment is within limit. Once the remittance is received, RBI has to be given intimation.
3. The shares certificates have to be issued in dematerialised mode. There is no restriction on repatriation of dividend, subject to tax, as per Indian laws.
4. The shares shall have same voting and other rights.

Question 10 (C19) (7M) (Dec 2023 PQ)

Discuss permitted Investments by persons resident outside India.

Answer

Any investment made by a person resident outside India shall be subject to the entry routes, sectoral caps, or the investment limits, may make investment as stated here in after.

i) Subscribe/ purchase/ sale of capital instruments of an Indian company is permitted
ii) Purchase/ sale of capital instruments of a listed Indian company on a recognised stock exchange in India by Foreign Portfolio Investors is permitted
iii) Purchase/ sale of Capital Instruments of a listed Indian company on a recognised stock exchange in India by Non-Resident Indian (NRI) or Overseas Citizen of India (OCI) on repatriation basis is permitted
iv) Purchase/ sale of Capital Instruments of an Indian company or Units or contribution to capital of a LLP or a firm or a proprietary concern by Non-Resident Indian (NRI) or Overseas Citizen of India (OCI) on a Non-Repatriation basis is permitted
v) Purchase/ sale of securities other than capital instruments by a person resident outside India is permitted
vi) Investment in a Limited Liability Partnership (LLP) is permitted
vii) Investment by a Foreign Venture Capital Investor (FVCI) is permitted
viii) Investment in an Investment Vehicle is permitted
ix) Issue/ transfer of eligible instruments to a foreign depository for the purpose of issuance of Depository receipts by eligible persons is permitted
x) Purchase/ sale of Indian Depository Receipts (IDRs) issued by Companies Resident outside India is permitted

Question 11 (C24 & C26) (7M) (Dec 2024 PQ)

State the persons eligible to claim the benefits under the Liberalised Remittance Scheme. What are the purposes for which such remittances can be made?

Answer

Under the Liberalised Remittance Scheme, all resident individuals, including minors, are allowed to freely remit up to USD 2,50,000 per financial year for

- any permissible current or
- capital account transaction or
- a combination of both.

The Scheme was introduced on February 4, 2004, with a limit of USD 25,000. The Scheme is not available to corporates, partnership firms, HUF, Trusts etc.

Individuals can avail foreign exchange facility for the following purposes within the LRS limit of USD 2,50,000 on financial year basis:

i) Private visits to any country (except Nepal and Bhutan)
ii) Gift or donation
iii) Going abroad for employment.
iv) Emigration
v) Maintenance of close relatives abroad

vi) Travel for business, or attending a conference or specialised training or for meeting expenses for meeting medical expenses, or check-up abroad, or for accompanying as attendant to a patient going abroad for medical treatment/check-up.
vii) Expenses in connection with medical treatment abroad
viii) Studies abroad
ix) Any other current account transaction which is not covered under the definition of current account in FEMA,1999

Question 12 (C25) (SM)

What are the remittances which are prohibited?

Answer

a) Remittance for any purpose specifically prohibited under Schedule-I (like purchase of lottery tickets/sweep stakes, proscribed magazines, etc.) or any item restricted under Schedule II of Foreign Exchange Management (Current Account Transactions) Rules, 2000.
b) Remittance from India for margins or margin calls to overseas exchanges / overseas counterparty.
c) Remittances for purchase of FCCBs issued by Indian companies in the overseas secondary market.
d) Remittance for trading in foreign exchange abroad.
e) Capital account remittances, directly or indirectly, to countries identified by the Financial Action Task Force (FATF) as "non- cooperative countries and territories", from time to time.
f) Remittances directly or indirectly to those individuals and entities identified as posing significant risk of committing acts of terrorism as advised separately by the RBI.

Question 13 (C36) (SM) (4M) (June 2023 PQ)

Discuss provisions for parking of ECB till their utilisation.

Answer

a) Parking Abroad:

- ECB proceeds intended for foreign currency expenditure can be parked abroad until utilization.
- These funds can be invested in specified liquid assets while they are parked abroad.

b) Parking Domestically:

- ECB proceeds intended for domestic expenditure must be sent immediately to the borrower's Rupee accounts with AD (Authorized Dealer) Category - I banks in India.
- These proceeds can also be parked in term deposits with AD Category - I banks in India for a maximum period of 12 months cumulatively.

Question 14 (C17) (SM)

Amit, Rohit and Mahesh are three friends passed out engineers, They want to form start-up company by contributing ₹ 10 lakhs each, Mahesh gets a job in USA and has left for USA. The company will be manufacturing a spare for computer which is very much in demand. Mahesh wants

to be a shareholder and a director of the company, which others have agreed. Others also will be directors.

The proposed company will be a private company and the product in delicensed sector. The holding of Mahesh in the company will be around 35%. The team of the above entrepreneurs want to clarify the following. Please advise them.

(i) Can Mahesh hold 35% shares in the company?

(ii) Can he attend the Board meetings in India?

(iii) Can they be allotted convertible note or any security other than equity shares?

(iv) Which route is to be taken and why?

(v) Shall Mahesh get dividend on the shares if he is non resident?

Answer

(i) Yes Mahesh can hold 35% shares in the company. Being a technological company, there is no bar on limit of foreign investment.

(ii) He can be director and attend Board meeting in India, whenever held.

(iii) Yes, he can be allotted convertible note. A convertible note is an instrument issued by a start-up company evidencing receipt of money initially as debt, which is repayable at the option of the holder, or which is convertible into such number of equity shares of such start-up company, within a period not exceeding 5 years from the date of issue of the convertible note, on occurrence of nay event.

The following capital instruments are permitted to be issued to a NRI.: 'Capital Instruments' means equity shares, debentures, preference shares and share warrants issued by the Indian company.

Equity shares: Equity shares are those issued in accordance with the provisions of the Companies Act, 2013 and will include partly paid equity shares issued on or after July 8, 2014.

Share warrants: Share warrants issued on or after July 8, 2014 will be considered as capital instruments.

Debentures: 'Debentures' means fully, compulsorily and mandatorily convertible debentures.

Preference shares: 'Preference' shares means fully, compulsorily and mandatorily convertible preference shares.

(iv) The routes under which foreign investment can be made is as under:

a) Automatic Route: Foreign Investment is allowed under the automatic route without prior approval of the Government or the Reserve Bank of India, in all activities/ sectors as specified in the under FEMA, 1999 Regulations.

b) Government Route: Foreign investment in activities not covered under the automatic route requires prior approval of the Government. Procedure for applying for Government approval is given.

Here, since the investment is permitted under Regulation, no Govt. approval would be required.

(v) Mahesh will get dividend which will be repatriable.

Additional Questions

Question 1 (C19) (1M) (Dec 2019 Old PQ)

How can a foreign company access Indian Securities market for raising funds?

Answer

Under FEMA, 1999, a foreign company can access the Indian securities market for raising funds through:

Issuance of Indian Depository Receipts (IDRs): Allows foreign companies to raise capital by issuing IDRs, which represent underlying equity shares.

Question 2 (C28) (SM)

Discuss few important stipulations of liberalised Remittance Scheme.

Answer

Under the Liberalised Remittance Scheme, all resident individuals, including minors, are allowed to freely remit up to USD 2,50,000 per financial year for

- any permissible current or
- capital account transaction or
- a combination of both.

The Scheme was introduced on February 4, 2004, with a limit of USD 25,000. The Scheme is not available to corporates, partnership firms, HUF, Trusts etc.

a) Frequency: There are no limits on how often you can make remittances under LRS.
b) Annual Limit: The total amount remitted from all sources in India during a financial year cannot exceed USD 250,000.
c) Further Remittances: Once the USD 250,000 limit is reached in a financial year, no additional remittances can be made under LRS, even if the invested funds are brought back to India.
d) Earnings Remittance: Residents not permanently living in India who have remitted all their earnings and wish to send additional 'other income' can apply to the RBI through their Authorised Dealer (AD) bank.

Question 3 (C25 & C31) (7M) (MQP Dec 2024 Set 1)

Analyse the aspects, which remittances are prohibited under Liberalized Remittance Scheme (LRS)? Discuss what facilities are available to entities other than individuals?

Answer

Prohibited items under the Liberalized Remittance Scheme (LRS):

a) Remittance for any purpose specifically prohibited under Schedule-I (like purchase of lottery tickets/sweep stakes, proscribed magazines, etc.) or any item restricted under Schedule II of Foreign Exchange Management (Current Account Transactions) Rules, 2000.
b) Remittance from India for margins or margin calls to overseas exchanges / overseas counterparty.

c) Remittances for purchase of FCCBs issued by Indian companies in the overseas secondary market.
d) Remittance for trading in foreign exchange abroad.
e) Capital account remittances, directly or indirectly, to countries identified by the Financial Action Task Force (FATF) as "non- cooperative countries and territories", from time to time.
f) Remittances directly or indirectly to those individuals and entities identified as posing significant risk of committing acts of terrorism as advised separately by the RBI.

The following facilities are available to persons other than individuals:

a) Donations:
   - Amount: Up to 1% of foreign exchange earnings over the past three years or USD 5,000,000, whichever is less.
   - Purpose: For creating educational chairs, contributing to funds by educational institutes, or supporting technical institutions or associations.
b) Commission Payments:
   - Amount: Up to USD 25,000 or 5% of the inward remittance per transaction, whichever is less.
   - Purpose: For agents abroad involved in selling residential or commercial property in India.
c) Consultancy Services:
   - Infrastructure Projects: Up to USD 10,000,000 per project.
   - Other Consultancy Services: Up to USD 1,000,000 per project.
d) Reimbursement of Pre-Incorporation Expenses:
   Up to 5% of the investment brought into India or USD 100,000, whichever is less.

Anything in excess of above limits requires prior approval of the Reserve Bank of India.

Question 4 (C47) (SM)

What is the vote of authorised dealers in case of trade credits?

Answer

AD (Authorized Dealer) banks can provide bank guarantees on behalf of the importer to overseas lenders. The guarantee period cannot exceed the maximum permissible period for TC.

Monthly Reporting: AD Category I banks must report details of TC drawl, utilization, and repayment in a consolidated statement each month using Form TC.

Quarterly Reporting: AD Category I banks must report data on bank guarantees for TC in a consolidated statement quarterly on the XBRL platform.

Role of ADs

a) Ensure compliance with TC policy and FEMA provisions.
b) Verify TC arrangements and avoid double financing for SEZ/FTWZ transactions.
c) Ensure the TC period for non-capital goods is the lower of the operating cycle or one year.